1. Motivation

1.1. What is motivation?

- It is the desire of workers to do a job quickly and efficiently.
- They are the external and internal factors that stimulate people to take actions to meet a specific aim.

Importance of motivation

- Help a business achieve its goals
- Help remain as cost-effective as possible (lower accidents and wastage)
- Helps maintain low labour turnover and absenteeism rates
- Impact the productivity and competitiveness of the business
- Well-motivated staff will be ready to accept responsibility and will make suggestions to improve customer service and satisfaction.

1.2. F.W. Taylor – scientific management/theory of an economic man

His main purpose was to reduce inefficiencies

His approach included 7 steps:

1. Select group of workers
2. Observe them perform tasks
3. Record time taken
4. Identify the quickest method
5. Train all employees in that method
6. Supervise them
7. Pay them accordingly

- He believed that people are only motivated by money
- He believed piece rate method of payment should be used where worker's output is directly linked to their wage rates
- He believed that autocratic leadership style should be used
- Workers should be closely supervised and no discussion or feedback should be taken
- One-way communication
- Theory X manager ideology is adopted

Problems of this method –

- Not everyone is motivated by money
- Quantity over quality is encouraged – not acceptable in the long run
- In modern times, due to advanced education and training, worker participation should be encouraged and will help the business in the long run

1.3. Mayo and Human Relation theories

Mayo is best known for his Hawthorne effect where he ran experiments in Hawthorne factory in USA.

He reached surprising observations and they are:

- Working conditions alone don't determine productivity.
- Other motivational factors need to be explored for accurate conclusions.

Afterwards, he conducted more experiments by changing rest periods, payment system etc.

The Hawthorne Effect, conclusion of Mayo's work:

- Changing working conditions and pay often doesn't impact productivity much.
- Talking with workers boosts motivation.
- Working in teams and building team spirit can boost productivity.
- Allowing workers control things like break times increases motivation.
- Teams can set their own targets, often influenced by informal leaders.

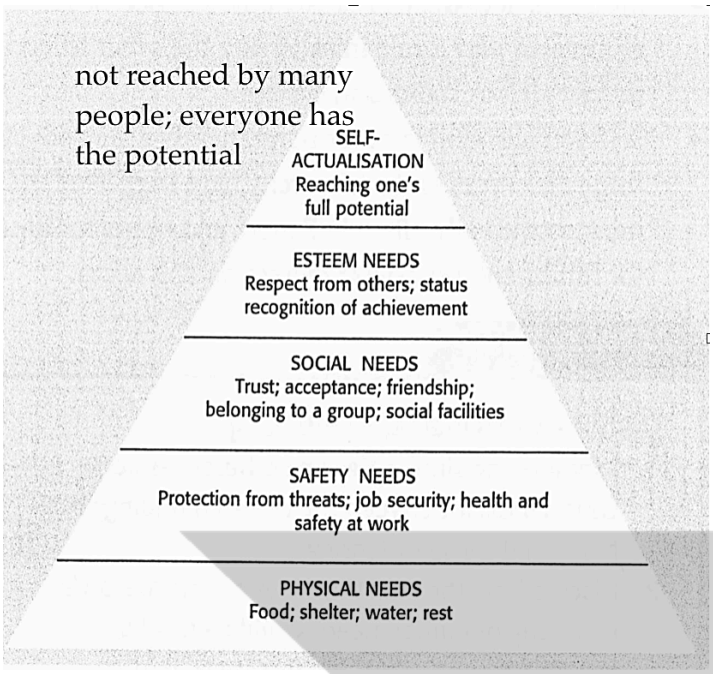
Evaluation of Mayo's research for today's businesses

- Worker Participation: More businesses involve workers in decision-making.
- Human Resource Management (HRM): HR departments have been established to apply the Hawthorne effect.
- Team Working: Many businesses use teams to leverage the Hawthorne effect.
- New Research: Involving workers and understanding their goals has spurred new research in industrial psychology.

1.4. Abraham Maslow – Hierarchy of human needs

- He categorised employee needs into 5 levels.
- Every employee starts at the lowest level

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.



- Physical needs – food, shelter, water, rest
- Safety needs – job security, health and safety
- Social needs – trust, friendship, teamwork, acceptance
- Esteem needs – respect, status, recognition, achievement
- Self-actualisation – reach one's full potential, challenging and creative work
- Regression is possible – once one need is satisfied, greater quantity of the same need will not motivate people

Limitations-

- Everyone has different needs
- Difficult and impractical to identify for each worker and have separate measures for each
- Self-actualisation is never permanently achieved

1.5. Frederick Herzberg – Two factor theory

- He conducted interviews and surveys to know and identify factors which give good feelings and the ones that provide negative feelings
- Job enrichment principles should be adopted
- Complete units of work – workers should be allowed to produce a recognisable part of the product/service
- Feedback on performance – workers must be given accurate feedback on their work. Good work must be recognised
- A range of tasks – workers must be given challenging and beyond their current experience tasks
- Team work should be encouraged and adopted
- He divided his results into 2 factors –
- Hygiene factors –
  - Salary, working conditions, supervision, social relations
  - They DO NOT motivate employees, but their absence DEMOTIVATES them
  - They just remove dissatisfaction
- Motivators –
  - Achievement, recognition, work itself, responsibility, advancement
  - These factors MOTIVATE employees

1.6. David McClelland – Motivational needs theory

He identified 3 types of motivational needs in his book – The achieving society

1. Achievement motivation –
   - Have realistic goals
   - Seek opportunities of job enrichment and advancement
   - Have result driven attitudes
2. Authority motivation –
   - Desire to control others
   - Need to be influential, effective, make an impact
   - Strong leadership instincts
3. Affiliation motivation –
   - Need for friendly relations
   - Teamwork and interaction with others
   - Be liked and popular

- Achievement motivated people are the ones who give the business the best results.

1.7. Vroom – expectancy theory

- Individuals will choose to behave in ways they believe will lead to the best outcome and rewards
- People can be motivated if they believe:
- There is a positive link between performance and effort
- Will result in a favourable reward
- Reward will help satisfy important needs
- Desire to satisfy the need is strong

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

- 3 beliefs –
    1. Expectancy - degree to which people believe hard work will lead to their desired reward (Effort → Performance)
    2. Instrumentality - confidence of employees that they will receive the reward they desire (Performace → Outcome)
    3. Valence - The value an individual places on the expected reward or outcome (can be **intrinsic or extrinsic**).
- Even if any 1 belief is missing, motivation will not occur

1.8. Motivational theories – evaluation

- They provide the starting point and a framework to defining motivational methods and issues
- They are often criticized due to its lack of rigour and follow up work
- Important to identify the most appropriate theory and identify their relevance in the business

1.9. Motivators - Financial rewards

Time based wage rate	Piece rate	Salary
Payment to a worker made for each hour worked	Payment to worker for each unit produced.	Annual income, paid monthly
Mode of payment for manual, clerical and other blue collared workers	Reflects the difficulty of the job and the standard time.	Professional, supervisory and management staff
Time rate is present, usually paid weekly	Too low- demotivates, too high- reduces incentives (will be able to meet their target wage level easily)	Fixed each year and determines the status of job
Does not directly link to efforts put in	Encourages faster working and efforts	Job evaluation helps decide salary bands
Low security for workers	Requires output to be measurable	Security of income and helps in cost and price calculation
	Little security for workers	Suitable for jobs where output is not measurable
	Helps in price determination on the basis of labor costs.	Can lead to complacency as income is not related to effort
	Quality and safety issues \n Leads to falling quality standards	Regular appraisal is necessary
	Resistance from workers in the event of change of work	

Commission	Bonus	Performance-related pay	Profit-sharing	Fringe Benefits
Proportion of the sales made	In addition to their wages/salary	A bonus scheme to reward staff for "above average work performance"	A bonus for staff based on the profits of the business- can be a proportion of the salary, issue of organizations shares	Non cash forms of reward
Maybe too persuasive, poor brand image	Given for work well done/efficiently	In addition to basic salary	Earns commitment from staff	Company cars, free insurance, pension schemes, loans.
Low security for workers		Requires regular target setting, annual appraisals against preset targets and paying bonuses	In case of issue of shares solves the problem of "us and them"	In addition to normal payment schemes
Teamwork is not encouraged		Often inadequate, short-term effect \n Problem of favouritism	Reduces retained profits and dividends for shareholders	
		Herzberg theory: it only moves, not motivates	Diluted share capital	
		Hawthorne effect: individual focus rather than team.	Workers may sell shares quickly, reducing its effect	

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

1.10. Non-financial rewards

Job Rotation	Job Enlargement	Job Enrichment	Empowerment
Increasing flexibility of the workforce	Increasing the scope of job	Principle of organizing work	Empowerment fastens problem-solving and leverages employees' relevant experience
Giving variety of work- multi skills	Broadening the task, deepening	Encouraged to use full ability-not just physical effort	It increases motivation and morale through challenging work and recognition
Switch from one job to another- avoids monotony	Includes both rotation and enrichment	Reduction of direct supervision, allowing decision making authority	It enhances communication and reduces turnover by increasing involvement
Series of separate task	Usually happens in case of redundancies or shortage	Based on 3 principles from Herzberg's theory: \n - Complete units of work \n - Direct feedback \n - Challenging tasks	Managers can focus on strategic issues as routine problems are handled by employees
Doesn't increase empowerment or responsibility	Horizontal enlargement		Training is needed to manage the risks of increased authority with empowerment
	Adding tasks to avoid it from becoming boring but no power/authority is given		Less supervision might result in poor decision-making
	Doesn't lead to long-term job satisfaction or enrichment		Reduced coordination can occur, leading to inconsistent approaches
			Some employees may reluctantly accept more responsibility for job security

Job redesign	Training	Quality circles
Restructuring of a job with the agreement of the employee	Improving and developing the skills of employees	Originated in japan- Kaizen
Attempt to make work more interesting and challenging	Increases status and chances of promotion	Voluntary groups of workers meet regularly and discuss issues
Adding and removing certain tasks can lead to rewarding work	Greater sense of belonging	Employees have first hand experience with the problem
Similar to enrichment		Better and quicker solutions
Allows workers to gain a wider range of skills and increases chances of promotion		Provides a new perspective
		Leads to job enrichment – Herzberg motivation

Worker participation	Team-working	Target setting	Delegation and Empowerment
Actively encouraged to become involved in decision making within the organization	Lower labor turnover	Management by objectives	Passing down of authority
Involvement in decisions on break times, job allocations, productivity	Better ideas, improved quality	Enables feedback and comparison	Delegating control over work
Improves productivity and lowers wastage	Maslow and Herzberg's applications	Provides a sense of direction	
Better decisions, new perspectives	Delayering	Time taking – appraisal every year	
Can be time consuming	Not everyone is a team player		
Autocratic managers find it difficult	Conflict with organizational values		
Paternalistic leadership used – demotivating	Training costs		

1.11. Financial and non-financial motivation – evaluation

- Pay is not the only motivating factor
- Managers must be flexible

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

- Depends on:
  - Leadership style
  - Culture of management
  - Attitude of managers and workers
- Usually, business use a mix
- Non-financial methods are cheaper than financial

NOTES

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.